

CampusCents - Return on Investment (ROI) Analysis

Team 4 | Sprint 2 Business Case

Investment Overview

CampusCents is a personal finance management application designed to help college students better understand and manage their income, expenses, budgets, and savings. The project addresses problems identified during market research, including difficulty consistently tracking spending, recognizing the effect of small purchases, and understanding how much money is safely available to spend.

The Sprint 2 estimation activity produced an estimated effort range of **460-864 hours**, with an expected effort of **654 hours**. Using the team's assumed loaded labor rate of **\$60 per hour**, the estimated development cost ranges from **\$27,600 to \$51,840**, with an expected cost of **\$39,240**. The estimate assumes a four-person team. These figures provide the expected investment used for this ROI analysis.

Expected Benefits

CampusCents is intended to create value by making financial information easier for students to access, organize, and understand. Expected benefits include improved awareness of spending, earlier identification of potential overspending, less effort required to monitor finances, and better-informed daily financial decisions.

Because CampusCents does not yet have historical usage or revenue data, the monetary benefits below are **planning assumptions rather than measured results**. The base case assumes **1,000 active users** receiving an average measurable benefit of **\$2 per month per user** from reduced unnecessary spending, earlier budget intervention, and reduced effort managing finances. This produces an estimated benefit of **\$24,000 per year**, or **\$72,000 over three years**.

ROI Calculation

Measure	Base-Case Estimate
Expected development cost	\$39,240
Active users assumed	1,000
Benefit per user/month	\$2.00
Annual estimated benefit	\$24,000
3-year estimated benefit	\$72,000
3-year net benefit	\$32,760
3-year ROI	83.5%
Payback period	~19.6 months

$$\text{ROI} = (\text{Total Benefits} - \text{Total Costs}) / \text{Total Costs} \times 100$$

$$\text{ROI} = (\$72,000 - \$39,240) / \$39,240 \times 100 = 83.5\%$$

Conclusion

Under the base-case assumptions, CampusCents produces a **positive three-year ROI of approximately 83.5%** and recovers its expected development investment in approximately **19.6 months**. The analysis suggests that the project can provide benefits greater than its estimated development cost if sufficient student adoption and continued usage are achieved. However, the projected financial benefits have not yet been validated through actual deployment. User adoption, benefit per user, operating costs, and changes to project scope are therefore major uncertainties. The ROI should be updated as the team obtains more reliable cost and usage information.

Basis: CampusCents Project Charter, Market Research, Business Strategy, and Sprint 2 Estimation Activity. The \$2/user/month benefit and 1,000-user adoption level are explicit planning assumptions.